STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Case 25-E-0072: Proceeding on Motion of the Commission as to Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service.

Case 25-G-0073: Proceeding on Motion of the Commission as to Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service

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DIRECT TESTIMONY OF EVIE DAVIS

ON BEHALF OF NEW YORK POWER AUTHORITY

May 30, 2025

INTRODUCTION AND QUALIFICATIONS

Q. Please state your name and business address.

A. My name is Evie Davis. My business address is 123 Main Street, White Plains, New York 10601.

Q. By whom are you employed?

A. I am employed by the New York Power Authority ("NYPA").

Q. Ms. Davis, please state your title, educational background, and professional experience.

A. Currently, I serve as Senior Director, Revenue and Pricing Analysis in NYPA's Finance Department. I earned a Bachelor of Science in Mathematics from Arizona State University, and a Master of Science in Financial Management from Pace University. I have worked at NYPA since 2012 where I first started in Pricing and Rate Analysis as an intern. Following my internship, I was hired full time with my roles and responsibilities steadily increasing throughout my career. I have been leading the Revenue and Pricing Analysis group since 2018, and have since assumed the roles of Director and now, Senior Director.

Q. Please briefly describe your current responsibilities at NYPA.

A. As Senior Director of Revenue and Pricing Analysis, I lead the team responsible for developing revenue requirements, production rates, and cost recovery for NYPA's customer supply programs. Regarding the delivery service provided by Consolidated Edison Company of New York, Inc. ("Con Edison" or "Company"), I oversee NYPA's governmental customer pricing that incorporates Con Edison's delivery rates and surcharges. I have performed analyses for NYPA in the Company's last two rate cases

(22-E-0064 and 19-E-0065), with specific focus on the Embedded Cost of Service Studies, load forecast, and other matters affecting the justness and reasonableness of the delivery rates imposed upon the NYPA class.

Q. Have you previously testified before the Public Service Commission (the "Commission")?

A. No, I have not.

PURPOSE AND SUMMARY OF TESTIMONY

Q. What is the purpose of your testimony in this proceeding?

A. My testimony focuses on the Company's sales forecast and revenue allocation to the NYPA class.

Q. In your testimony, will you refer to, or otherwise rely upon, any information produced during the discovery phase of this proceeding?

A. Yes. We will refer to, and have relied upon, certain responses to Information Requests ("IR") produced during this proceeding.

Q. Are you sponsoring any additional exhibits?

A. Yes, as explained herein, I have supplied information on the extent of the Company's Revenue Decoupling Mechanism ("RDM") surcharges levied on the NYPA class over the years, and a table on the NYPA Service Class ("SC") 91 demand load growth rates.

Q. Please identify and describe these exhibits.

A. This information appears in the tables provided in Exhibit __ (ED-1) and Exhibit __ (ED-4).

SALES FORECAST AND REVENUE ALLOCATION

Q. What led you to investigate the Company's sales forecast?

A. As part of my responsibilities, I am familiar with the Con Edison surcharges billed to NYPA monthly and oversee the further allocation to individual NYPA class customers. These surcharges include the RDM surcharge. Over the past ten years, the RDM surcharges assessed to the NYPA class have been consistently positive, indicating an initial under recovery of base revenues. These RDM surcharges have therefore resulted in significant charges to the NYPA customers.

Q. What is the purpose of the RDM?

A. The RDM reconciles the difference between actual billed delivery revenues and approved revenues as adopted in the previous rate case. In tariff terminology, the Company reconciles the "difference between actual Pure Base Revenue and Allowed Pure Base Revenue under this Rate Schedule." (PSC No. 12, Leaf 21). The reconciliation is performed every six months, and the resulting balance is charged or credited to customers with interest, over a six-month period that commences two months later.

Q. What has your review of the Company's RDM balances shown?

A. It shows that RDM balances applicable to NYPA have been in a consistent deficit position. In other words, the actual billed revenues have been lower than the RDM targets set forth in the 2022 Joint Proposal and in the Commission's "Order Correcting Revenue Decoupling Mechanism Targets and Directing Tariff Amendments," issued and effective March 19, 2024, in Case 22-E-0064. Since August 2023 (the first RDM assessment for reconciliation to the Allowed Pure Base Revenues from the 2022 Joint Proposal), the

NYPA customers have been assessed over $51 million in RDM charges. See the table included in Exhibit __ (ED-1) (highlighted portion shows 2023-2025 balances).

Q. What do these large balances indicate?

A. These large RDM charges indicate a consistent overstatement of NYPA forecasted revenues stemming from an over forecast of load used to determine the Company's rates in prior rate proceedings. When NYPA issued discovery requests seeking to confirm whether the Company's forecasted billed demands for the 2023-2024 period as set forth in the 2022 Joint Proposal (the Company's last rate proceeding) were overstated and resulted in the RDM charges applicable to NYPA, the Company could not prove otherwise. See Exhibit __ (ED-2) (Company's response to IR NYPA-9-43; parts c and d). This consistent divergence between forecasted and actual load is the cause of the RDM charges described above. The last time the RDM surcharge was a credit was ten years ago in 2015, when the credit was approximately $300,000, indicating a consistent over-forecast of NYPA load in Con Edison's rate proceedings.

Q. Please explain your review of the Company's sales forecast.

A. Based on our review of the Electric Forecasting Panel's ("EFP") updated April 10, 2025 testimony, further exploration of the Company's demand load forecast was needed. We subsequently pursued certain lines of discovery.

Q. What did you learn from this discovery?

A. The Company's responses to our questions exploring the demand load growth assumptions provided no information that dissuades us from our central contention that the demand load forecast for the NYPA class is overstated. For example, our requests for

specific information or underlying rationales supporting the Company's load growth rate assumptions did not yield any direct answers. See Exhibit __ (ED-3) (responses to NYPA IRs 8-41 and 8-42).

Q. What is your recommendation regarding the NYPA SC 91 demand forecast?

A. Based on my review of the load data in the EFP rate revenue model provided in response to data request DPS 1-81 (April 2025 Update), I am recommending a -1.1% growth rate be applied to the SC 91 demand forecast. The -1.1% growth rate represents the annual average change from the four-year period from 2019 to 2023 based upon actual demands reported in the Company's model provided in response to DPS 1-81. Exhibit __ (ED-4) ("Growth from 2019" column). While NYPA SC 91 load decreases in 2020-2022 were largely impacted by COVID-19, loads in 2023 materialized at a new normal below the demand seen prior to 2020. Further, the cumulative average growth rates ("CAGR") for each year starting in 2003 relative to 2023 are shown in the last row of Exhibit __ (ED-4) (values highlighted in gold). The CAGR for SC 91 demand has been consistently negative since 2007, when excluding the CAGR between 2020-2022.

Q. What is the estimated revenue impact of the Company's inflated growth rate?

A. I utilized the EFP updated model (the Company's April 10th updated supplemental material provided in response to Data Request DPS-1-81), to evaluate the difference in revenues between the Company's April 10th update and revenues when incorporating my proposed -1.1% growth rate for SC 91 forecasted demand. I have estimated the difference in the projected 2026, 2027, and 2028 T&D revenues at current rates to be approximately $10, $16, and $25 million, respectively. These are material differences affecting the

NYPA class and will only be further exacerbated by the annual revenue requirement increases under a multi-year rate plan. Additionally, revenue determinations based on incomplete or inaccurate growth rate assumptions have implications on surcharges assessed to the NYPA class. Certain Con Edison surcharges are allocated to NYPA based on the NYPA class percentage of total projected T&D revenues.

Q. Do you have any other findings concerning the Company's forecasts and revenue allocation to the NYPA class?

A. Yes. Also in the Company's April 10, 2025 update, the EFP indicated that its revenue projections for RY1, RY2 and RY3 needed to be lowered due to "updated" delivery volume forecasts. See EFP updated testimony at 15:13-16:4. Furthermore, the EFP stated that its declined revenue projections reflected its determination that an "unnecessary rate increase was applied to NYPA SC 91 customers for RY1, in its initial filing." EFP updated testimony at 16:4-12. These corrections should also compel necessary downward adjustments to the Company's proposed conventional and TOD revenues for the NYPA class. The most logical place for this to appear would be an update to the Company's Exhibit __ (ERP-2), Schedule 8. See the Company's response to IR NYPA-7-38 included here as Exhibit __ (ED-5).

Q. Please explain.

A. As NYPA learned in discovery, the Company's "unnecessary rate increase" initially applied to SC 91 for RY1 also applied to the decline in forecasted revenues at current rates for RY2 and RY3. Exhibit __ (ED-6) (IR response to NYPA-7-37; subpart c.). Also in discovery, the Company confirmed that the "Unnecessary Rate Increase" to

NYPA SC 91 was "a large contributing factor" to these changed forecasts, all of which resulted in declines to Con Edison's total projected non-competitive delivery revenues. Exhibit __ (ED-6) (IR response to NYPA-7-37; subpart a.). These declines were $29.59 million (RY1), $23.32 million (RY2) and $15.97 million (RY3). EFP updated testimony at 15:21 – 16:4. I further observe that when comparing the "non-competitive delivery revenues at current rates" for RY1, RY2 and RY3 in its initial filing (Exhibit __ (EFP-7) (pages 3-5)) with the updated values contained in Exhibit __ (EFP-15) at pages 2-4, the decline in forecasted revenues is almost entirely attributable to the reduced revenues forecasted for the NYPA class, specifically, reductions of $47.13 million (RY1), $46.66 million (RY2), and $42.41 million (RY3). A reduction in projected revenues at current rates has a direct impact on revenue projections at 2026 rates. Therefore, my testimony is that this calls for a significant adjustment to the proposed total revenues from the NYPA class at 2026 rates. The Commission should ensure that this April 10 update is carried forward in the Company's proposed rate development.

Q. Do you have any other rate related concerns?

A. Yes. In our review of the Electric Rate Panel's direct testimony, we asked in discovery (IR NYPA-4) for a breakdown of the revenues shown in the Company's Exhibit ERP-2, Schedules 2 and 8, and for a breakdown of the T&D 2026 Rate Year delivery revenue change applicable to the NYPA.

Q. Please describe the Company's response.

A. The Company's responses indicated that "EAMS" charges were inadvertently included in the Historical Year Revenues at Current Rates (see response to IR NYPA-4-15), in the

Proposed 2026 Revenues (see response to IR NYPA-4-16), and in the Proposed Revenue Change of $175.4 million for 2026 (see response to IR NYPA-4-14). Exhibit __ (ED-7) contains these responses. The Company further explained in its responses that it will "correct this in future versions." As a result of these responses, the Commission should ensure that in the required updates in this proceeding, the Company make this change to its cost support for its total revenue proposal for the NYPA class.

RECOMMENDATIONS AND CONCLUSIONS

Q. What are your recommendations?

A. Based on the evidence described above, I recommend a -1.1% growth rate be applied to the SC 91 forecasted billing demands. The Electric Forecast Panel's SC 91 growth rate does not consider the history of load patterns and should be adjusted. If the Company's forecast load assumptions are adopted, NYPA's projected revenues will be overstated and result in continued RDM charges to customers. Second, I request that the Commission ensure that the Company's previously filed updates and data responses, which appear to have direct effects on the revenue allocation to NYPA with respect to both proposed T&D revenues and proposed total revenues, are incorporated into the Company's next required updates in this proceeding.

Q. Does this conclude this your testimony?

A. Yes.